

P & R Infra Project Ltd. v. Purvanchal Vidyut Vitran Nigam Ltd. & 3 Others

High Court of Judicature at Allahabad · Division Bench · 19 April 2021 (per Hon'ble Prakash Padia, J.; time-extension application disposed of on 9.9.2021) · Writ-C No. 10772 of 2021 · **Writ petition dismissed on the ground of alternative remedy. The petitioner, an HV-2 consumer (250 KVA), challenged the assessment order dated 19.1.2021 by which the Executive Engineer, EDD-I, Ghazipur confirmed a provisional assessment of Rs.7,20,227 plus compounding charges of Rs.50,00,000 (total Rs.57,20,227) arising from an alleged unauthorised re-connection detected on 27.9.2019 after disconnection for non-payment, and sought exclusion of the compounding amount. The order dated 19.1.2021 had been passed pursuant to an earlier writ (Writ No. 15843 of 2020) which set aside the previous order dated 22.6.2020 as non-speaking. The Division Bench held that the 19.1.2021 order is an assessment against which the petitioner had a statutory alternative remedy of appeal (under Section 126 of the Electricity Act, 2003 read with the U.P. Electricity Supply Code, 2005 and Clause 6.8(d)); that the disputed factual matrix of reconnection and levy of charges could not be adjudicated under Article 226; and that, the compounding charges having been made part of the assessment, the appeal against the final assessment was maintainable in respect of them too (rejecting the contention that no appeal lay against compounding). The earlier writ had been entertained only because the 22.6.2020 order was non-speaking, and was no precedent for a merits challenge. The writ was dismissed on the ground of alternative remedy, with liberty to appeal within eight weeks (not to be rejected as time-barred); the Court observed nothing on merits.**

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HEADNOTE

An assessment order (here confirming a provisional assessment and compounding charges after an alleged unauthorised re-connection) is to be challenged by the statutory appeal against the assessment, not by writ, where the dispute turns on facts; and where compounding charges are made part of the assessment, the appeal against the final assessment is maintainable as to them too. The petitioner, an HV-2 (250 KVA) consumer supplied through an independent feeder, had its supply disconnected for non-payment on 16.9.2019; a checking on 27.9.2019 found the line re-connected without payment, and on 2.12.2019 a provisional assessment of Rs.7,20,227 was issued with compounding charges of Rs.50,00,000 and an FIR under Section 138 of the Electricity Act, 2003. After a first confirmation order (22.6.2020) was set aside as non-speaking, the impugned reasoned order dated 19.1.2021 confirmed the assessment. Dismissing the writ petition on the ground of alternative remedy, the Division Bench held that the 19.1.2021 order is an assessment against which a statutory appeal lay (under Section 126 of the Act read with the Code and Clause 6.8(d)); that the disputed factual matrix of reconnection and the levy of charges could not be adjudicated under Article 226; and that, the compounding charges having been made part of the assessment and objected to and decided as such, the appeal against the final assessment was maintainable in respect of the compounding charges too — rejecting the argument that no appeal lay against compounding under Section 126. The earlier writ had been entertained only because the 22.6.2020 order was non-speaking (a natural-justice violation) and was no precedent for entertaining a merits challenge. The petitioner was given eight weeks to appeal without objection as to limitation, the Court observing nothing on merits.

FACTUAL SUMMARY

The petitioner, P & R Infra Project Ltd., an HV-2 category consumer (Connection No. 2524156581, load 250 KVA, sanctioned in 2017), was supplied through an independent feeder it had constructed. After the petitioner objected (20.2.2019) to the department supplying another person from that feeder, and complained (11.6.2019) of excessive bills that were not corrected, its supply was disconnected for non-payment on 16.9.2019. On 27.9.2019 a checking found the petitioner's line re-connected without payment; an FIR was lodged on 3.10.2019 under Section 138(1)(b) of the Electricity Act, 2003; and on 2.12.2019 a provisional assessment of Rs.7,20,227 was issued together with a notice of compounding charges of Rs.50,00,000, calling for objections. The petitioner objected on 20.12.2019 denying the re-connection. His objection not being decided, he filed Writ No. 8788 of 2020, disposed of on 9.6.2020 with a direction for a speaking order; the resulting order dated 22.6.2020 confirmed the total demand of Rs.57,20,227 but was set aside by Writ No. 15843 of 2020 (order dated 20.10.2020) as non-speaking, with a direction to pass a fresh order. The fresh (impugned) order dated 19.1.2021, passed by respondent no.4, confirmed the assessment. By the present writ petition the petitioner challenged the 19.1.2021 order and sought exclusion of the compounding amount. The Division Bench (Hon'ble Sanjay Yadav, Acting Chief Justice, and Hon'ble Prakash Padia, J., per Prakash Padia, J.), by judgment dated 19.4.2021, dismissed the petition on the ground of alternative remedy; a time-extension application was later disposed of on 9.9.2021, granting further time to comply.

REUSABLE CONSTRUCTIONS

1. A final assessment order (confirming a provisional assessment for unauthorised use/re-connection) is to be challenged by the statutory appeal against the assessment, not by writ under Article 226, where the dispute turns on the factual matrix of the alleged reconnection and the levy of charges. ¶ ¶ 10, 13
2. Where compounding charges are made part of the assessment — mentioned in the provisional assessment notice, objected to, and decided by the final assessment order — the statutory appeal against the final assessment is maintainable in respect of the compounding charges as well; the contention that no appeal lies against compounding is untenable. ¶ ¶ 12
3. A writ entertained earlier only because the assessment order was non-speaking (a violation of natural justice) is no precedent for entertaining a subsequent writ that challenges a reasoned assessment on the merits. ¶ ¶ 11

HOLDING-UNITS

INTERPLAY · EA2003::126

RATIO

A final assessment order is to be challenged by the statutory appeal, not by writ under Article 226, where the dispute turns on facts (here, the alleged unauthorised re-connection)

QUESTION

Should the High Court entertain, under Article 226, a challenge to a final assessment order confirming an assessment and compounding charges for an alleged unauthorised re-connection, when a statutory appeal is available?

HOLDING

No. The order dated 19.1.2021 is an assessment of charges, against which the petitioner had a statutory alternative remedy of appeal (under Section 126 of the Electricity Act, 2003 read with the U.P. Electricity Supply Code, 2005 and Clause 6.8(d)). The factual matrix of the alleged re-connection and the levy of the various charges cannot be properly adjudicated under Article 226; the impugned order requires adjudication of various facts, not permissible in writ jurisdiction when a statutory alternative remedy is available. The writ petition was accordingly dismissed on the ground of alternative remedy, with liberty to file the appeal within eight weeks (not to be rejected as time-barred). ¶ ¶ 10, 13-14

EVIDENCE “statutory alternative remedy of filing an appeal under Section 126 of the Electricity Act, 2003 read with U.P. Electricity Supply Code 2005 read with Code 6.8(d)” ¶ ¶ 10

EVIDENCE “The factual matrix of reconnection of electric supply and levy of various charges cannot be properly adjudicated under Article 226 of the Constitution of India” ¶ ¶ 10

EVIDENCE “the writ petition is dismissed on the ground of alternative remedy” ¶ ¶ 14

FLAG Judgment with numbered paragraphs (pin_basis=paragraph). The Court frames the remedy as an 'appeal under Section 126 ... r/w Clause 6.8(d)'; the statutory assessment appeal is technically under Section 127 of the Act, but the judgment's own references are to Section 126.

INTERPLAY · UP-2005::6.8

RATIO

Where compounding charges are made part of the assessment (noticed, objected to and decided with it), the statutory appeal against the final assessment is maintainable in respect of the compounding charges too

QUESTION

Where compounding charges are imposed as part of the assessment, is the statutory appeal against the final assessment maintainable in respect of those compounding charges, or is no appeal available against compounding?

HOLDING

The appeal is maintainable as to the compounding charges. In the notice of provisional assessment both the assessment of electricity charges and the compounding fee were mentioned, and the petitioner was required to show cause against both; he objected to both, and both were decided by the final assessment order dated 19.1.2021. Since the compounding charges had been made part of the assessment, the appeal against the final assessment is maintainable in respect of them, and the contention that no appeal lay against compounding under Section 126 was rejected. ¶ ¶ 12

EVIDENCE “In the notice of provisional assessment, the amount of assessment of electricity charges and compounding fee was mentioned and the petitioner was required to show cause against the said imposition of both the charges” ¶ ¶ 12

EVIDENCE “Since the compounding charges had been made part of assessment, as such the appeal against the final assessment dated 19.1.2021 is maintainable” ¶ ¶ 12

FLAG Addresses the petitioner's specific plea that no appeal lies against compounding charges; the compounding fee having been folded into the assessment, it is appealable together with the assessment.

PRINCIPLE TAGS

alternate-remedy-section-127-appeal-bars-writ The petitioner was relegated to the statutory appeal against the assessment (framed by the Court as an appeal under Section 126 r/w Clause 6.8(d)); the writ was dismissed on the ground of alternative remedy. ¶ ¶ 10, 13-14

disputed-questions-of-fact-not-adjudicable-under-article-226 The disputed factual matrix of the alleged re-connection and the levy of charges could not be adjudicated under Article 226 when a statutory alternative remedy was available. ¶ ¶ 10, 13

compounding-charges-part-of-assessment-are-appealable The compounding fee having been made part of the assessment and decided with it, the statutory appeal against the final assessment was maintainable as to the compounding charges too. ¶ ¶ 12

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONER HIMSELF UNAUTHORISEDLY RE-CONNECTED THE SUPPLY, AND THE CORRECTNESS OF THE ASSESSMENT (RS.7,20,227) AND COMPOUNDING CHARGES (RS.50,00,000)

Not adjudicated; these disputed questions of fact were left to the statutory appellate authority, the Court observing nothing on merits and granting eight weeks to appeal. ¶ ¶ 10, 13, 15-16

RELATED CASES — SEE ALSO

SCJ-2224 — Recent companion — a Section 126 assessment relegated to the statutory appeal, the High Court declining Article 226 interference where that remedy is available.

SCJ-041 — SOUTHCO v. Seetaram Rice Mill (SC) — the High Court should normally decline Article 226 against a final Section 126(3) assessment where a statutory appeal lies.

SCJ-876 — Clause 6.8(d) assessment-appeal sibling (M/s Kisan Chilling Plant v. Appellate Authority).

SCJ-023 — Clause 6.8(d) assessment-procedure sibling (Dr. Santosh Kumar Awasthi).

SCJ-2227 — Assessment relegated to the statutory appeal; unappealed assessment attaining finality — cognate alternative-remedy sibling.